

## 25CHCV03708 25CHCV03708

County: los-angeles

Division: Civil Law and Motion

Department: F43

Hearing date: 2026-09-22

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Case Number: 25CHCV03708 Hearing Date: September 22, 2026 Dept: F43

Dept. F43

Hearing Date: 09-22-26

Case # 25CHCV03708, Ohler Corp.  
v. City Electric Supply Co., Inc., et al.

Trial Date: 05-21-29

DEMURRER

MOVING PARTY:

Defendant Generac Power Systems, Inc.

RESPONDING PARTY: Plaintiff Ohler Corporation

RELIEF REQUESTED

Order sustaining demurrer to the complaint's  
First and Second Causes of Action.

RULING: Demurrer is sustained to the First Cause of  
Action with leave to amend and to the Second Cause of Action without leave to  
amend.

SUMMARY OF ACTION

On October 16, 2025, plaintiff Ohler

Corporation (Plaintiff) filed this action against several defendants, seeking damages resulting from a failed generator Plaintiff purchased at defendant John McCraw Electric Company's suggestion. The complaint asserts five causes of action:

(1) breach of express warranty of merchantability; (2) breach of implied warranty of merchantability; (3) breach of implied warranty of fitness; (4) negligence; and (5) breach of contract.

Plaintiff has identified three defendants: City Electric Supply Company, Inc., John McCraw Electric Company, LLC (McGraw Electric), and Generac Power Systems, Inc., previously Doe 1. City Electric filed an answer on December 10, 2025, and McGraw Electric filed an amended answer on January 27, 2026. Each defendant has also filed a cross-complaint.

Plaintiff owns a restaurant called Backwoods Inn in Santa Clarita, CA. (Compl. ¶

2.) McGraw Electric operates a licensed electrician business, acting as an agent of defendant City Electric Supply Company, Inc. (Id. ¶¶ 4-5,

7.) In December of 2023, Plaintiff notified McGraw Electric's employees that it lost thousands of dollars in food spoilage and had unscheduled closures due to rolling blackouts as a result of actions taken by its electric utility, Southern California Edison. (Id. ¶ 8.) To mitigate the losses, McGraw Electric's employees recommended that Plaintiff acquire a standalone electric generator (a Generac RGO 4845ANAC) and an accompanying Generac RTSW400A3, for a cost, before installation, of \$23,861.57. (Id.

¶ 9.) The generator were supposed to be sufficient capacity to provide electricity to the Restaurant, to allow Plaintiff's restaurant to remain open, to operate its refrigerators, and to avoid closures and food spoilage. (Id. ¶ 10.) Plaintiff relied on these representations and purchased both items on February of 2024, and paid \$80,000 to install the items. (Id. ¶¶ 11-12.) Due to the generator's inadequacies, Plaintiff had to close the restaurant on several occasions during power outages and throw away spoiled food due to lack of refrigeration. (Compl. ¶ 13.) This resulted in damages of tens of thousands of dollars in spoiled food and tens of thousands of dollars in lost profits from unscheduled closures. Moreover, Plaintiff was forced to call McGraw Electric to fix items which were not suitable for their intended purpose. (Id.

¶ 13.)

On August 19, 2026, defendant Generac Power Systems, Inc. (Generac) filed a demurrer to the Complaint's first and second causes of action. Plaintiff filed an untimely opposition<sup>[1]</sup> on September 11, 2026, and Generac replied on September 15, 2026.

## MEET AND CONFER

Before filing a demurrer, the parties must meet and confer "in person, by telephone, or by video conference." (Code Civ. Proc., § 430.41, subd. (a).) The moving party must file and serve a meet and confer declaration stating either: (1) the means by which the parties met and conferred, that the parties did not reach an agreement resolving the issues raised in the demurrer; or (2) that the party who filed the pleading subject to the demurrer failed to respond to the meet and confer request or failed to meet and confer in good faith. (Code Civ. Proc., §§ 430.41, subd. (a)(3).)

Counsel met and conferred by telephone on July 29, 2026, but did not come to an agreement. (Declaration of Kathrine A. Hight ¶ 2.) Thus, the "meet and confer" requirement is met.

## ANALYSIS

### A. Demurrer

A party may respond to a pleading against it by demurrer based on one or more of eight enumerated grounds, including that "the pleading does not state facts sufficient to constitute a cause of action" and is uncertain, meaning "ambiguous and unintelligible." (Code Civ. Proc., § 430.10, subs. (e), (f).) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (Postley v. Harvey (1984) 153 Cal.App.3d 280, 286.) The grounds for demurring must be apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc.,

§ 452.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law[.]” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.)

California courts must “give the complaint a reasonable interpretation, reading it as a whole and its parts in context,” rather than reading each cause of action in complete isolation. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) However, the “reading it as a whole” standard does not automatically import facts from a general statement of facts section into individual causes of action that make no reference to those facts. Each cause of action must be supported by ultimate facts. (Doheny Park Terrace Homeowners Ass’n, Inc. v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1085; see also Thompson v. Spitzer (2023) 90 Cal.App.5th 436, 452.) When a cause of action contains only a bare recitation of legal elements, it presents nothing but legal conclusions. The complaint may avoid the “legal conclusions” trap by expressly incorporating factual allegations in prior sections or causes of action into each subsequent cause of action to save repetition. (See Kajima Eng’g & Construction, Inc. v. City of Los Angeles (2002) 95 Cal.App.4th 921, 931-932; see also Doheny Park Terrace Homeowners Ass’n, Inc., supra, 132 Cal.App.4th at p. 1096.) The court then reads the later causes of action as if they contain the incorporated allegations.

#### 1. First Cause of Action: Breach of Express Warranty of Merchantability

Defendant Generac contends the First Cause of Action is uncertain as to Generac and that Plaintiff fails to allege Generac was a seller of the generator, what kinds of assurances Generac allegedly made to Plaintiff before the generator was purchased, and no allegations stating the issue with the generator.

In opposition, Plaintiff contends the allegations are sufficient to establish the requirements for a breach of express warranty claim. According to Plaintiff, whether affirmations

are attributable to agents, distributors, or manufacturers in marketing the product is a factual question which is not resolved on a demurrer.

“Any affirmation of fact or promise made by the seller to the buyer which relates to the goods and becomes part of the basis of the bargain creates an express warranty that the goods shall conform to the affirmation or promise. Any description of the goods which is made part of the basis of the bargain creates an express warranty that the goods shall conform to the description.” (Cal. U. Com. Code, § 2313, subd. (1)(a)-(b).) “[T]o prevail on a breach of express warranty claim, the plaintiff must prove (1) the seller’s statements constitute an ‘affirmation of fact or promise’ or a ‘description of the goods’; (2) the statement was ‘part of the basis of the bargain’; and (3) the warranty was breached.” (Weinstat v. Dentsply Int’l, Inc. (2010) 180 Cal.App.4th 1213, 1227 [citing Cal. U. Com. Code, § 2313, subd. (1)(a)-(b); Keith v. Buchanon (1985) 173 Cal.App.3d 13, 20].)

As an initial matter, Plaintiff’s allegations concerning defendant Generac are limited. Plaintiff has identified defendant Doe 1 as defendant Generac and alleges the doe defendants are responsible in some manner for the conduct and alleged in the complaint and for Plaintiff’s damages. (Compl. ¶ 6.) These are the only allegations which are specific to Generac as a Doe defendant.

Elsewhere in the complaint, Plaintiff combines Generac’s alleged conduct with all other defendants. Plaintiff claims that during negotiations, all defendants reassured Plaintiff the generator was adequate for its purpose, the defendants breached their express warranty because the generator was inadequate, and the generator was unable to supply sufficient electricity to keep the Restaurant open and the refrigerators to operate. (Compl. ¶¶ 15-16.) Plaintiff discovered the breach in March of 2024 and notified McGraw Electric of the breach. (Id. ¶ 17.) As a result, Plaintiff did not receive goods as warranted by Defendants and suffered damages of \$200,000 (purchase and installation, closing the restaurant, and replacement of spoiled food). (Id. ¶¶ 16, 18-19.)

However, Plaintiff’s allegations do not demonstrate that Generac was involved in negotiations for the generator. (See Compl. ¶¶ 9-13.) Plaintiff’s non-conclusory allegations concern interactions with McGraw Electric. Although the Complaint’s allegations and the attached quote for the

generator identify the generator as "Generac," nothing in Plaintiff's allegations indicate Generac made any warranties to Plaintiff or directly sold the generator to Plaintiff. Nor does Plaintiff allege it notified Generac of issues with the generator. (But see *Greenman v. Yuba Power Products, Inc.* (1963) 59 Cal.2d 57, 60-64 [Greenman exception not required notice to remote manufacturer]; Cal. U. Com. Code, § 2607(3).) Plaintiff also fails to allege Generac sold the generator, City Electric and McGraw Electric are Generac's agents, and the particular defect in the generator.

Thus, the Complaint is uncertain as to Generac's role in Plaintiff's contentions, and Plaintiff's allegations at most demonstrate liability about McGraw Electric and City Electric.

Plaintiff claims it can amend the Complaint to attach or quote Generac's model specifications, written assurances, labeling, or marketing incorporated into the transaction, and to allege notice directed to Generac. (Opp. at p. 4:3-6.) In response, Generac claims a product description or marketing material is insufficient to demonstrate "assurance to an end consumer that the product is appropriate for that consumer's needs." (Reply at pp. 5:26-6:5.)

The court agrees that alleging model specifications alone is insufficient to cure the defects.

However, Plaintiff must allege facts demonstrating written assurances by Generac to Plaintiff, pursuant to Uniform Commercial Code section 2313, the existence of an actual defect covered by the warranty, and that the particular defect was a substantial factor in causing Plaintiff's damages. The court also notes Generac's concerns as to allowing Plaintiff to include further allegations which conflict with or completely replace the allegations concerning Plaintiff's reliance on McGraw Electric's conduct and the terms of the oral agreement with McGraw Electric. (Demurrer at pp. 12:10-13:1.) But the purpose of Plaintiff's amendment is solely to provide further details concerning Generac's conduct and the role Generac's model specifications and written assurances played in Plaintiff accepting McGraw Electric's proposal of the generator at issue. These allegations do not undermine Plaintiff's claims and allegations concerning McGraw Electric but clarify the extent of Generac's liability.

Therefore, the court sustains defendant Generac's demurrer to the First Cause of action with leave to amend.

## 2. Second Cause of Action: Breach of Implied Warranty of Merchantability

Next, Generac contends the breach of implied warranty claim is uncertain as to Generac and that the claim fails because the allegations are alleged against defendants as a whole without stating any separate allegations of relationship, action, or failure to act by the Doe defendants. Thus, Plaintiff cannot allege vertical privity.

In opposition, Plaintiff contends privity is alleged through the sale of Generac's goods through McGraw Electric and City Electric. Plaintiff asserts that "[w]hether Generac's warranty obligations extend through its distribution chain to Plaintiff, whether Plaintiff was a third-party beneficiary of Generac's implied warranties, or whether manufacturer-issued warranties and authorized service involvement create the requisite relationship are fact questions that cannot be disposed of on demurrer."

To establish a breach of an implied warranty of merchantability, plaintiff must allege that (1) a product was purchased from defendant; (2) at the time of purchase, defendant knew, or had reason to know, that plaintiff intended to use the product for a particular purpose; (3) at the time of purchase, defendant knew, or had reason to know, that plaintiff was relying on defendant's skill and judgment to select or furnish a product that was suitable for the particular purpose; (4) plaintiff justifiably relied on defendant's skill and judgment; (5) The product was not suitable for the particular purpose; (6) plaintiff took reasonable steps to notify defendant within a reasonable time that the product was not suitable; (7) plaintiff was harmed; and (8) The failure to be suitable was a substantial factor in causing plaintiff's harm. (Cal. U. Comm. Code, § 2315. See also *American Suzuki Motor Corp. v. Superior Court* (1995) 37 Cal.App.4th 1291, 1295 ["Unlike express warranties, which are basically contractual in nature, the implied warranty of merchantability arises by operation of law."] )

As with the First Cause of Action, Plaintiff's Second Cause of Action lumps all defendants together but fails to state any specific conduct as to defendant Generac. Plaintiff alleges are defendants were merchants with respect to goods of the kind which were sold to Plaintiff, and there was in the sale to Plaintiff an implied warranty that those goods were merchantable. (Compl. ¶ 21.) According to Plaintiff, defendants breached that warranty implied in the contract for the sale of goods because the generator

was not fit for the ordinary purposes for which it was to be used and did not conform to the promises made by the defendants. (Id. ¶ 22.) As a result, Plaintiff did not receive goods as impliedly warranted by defendants and suffered damages of \$200,000. (Id. ¶¶ 23-24.)

But Plaintiff alleges the subject generator was purchased from defendant City Electric, not defendant Generac. (Compl. ¶ 11.)

Privity of contract is a prerequisite for recovery on a theory of breach of implied warranties of fitness and merchantability. (Blanco v. Baxter Healthcare Corp. (2008) 158 Cal.App.4th 1039, 1059.) “[T]here is no privity between the original seller and a subsequent purchaser who is in no way a party to the original sale.” (Blanco v. Baxter Healthcare Corp. (2008) 158 Cal.App.4th 1039, 1059, citations omitted.) To demonstrate vertical privity with a manufacturer, plaintiff must allege that the buyer and manufacturer were parties to the sales contract or that an exception applies. (Cardinal Health 301, Inc. v. Tyco Electronics Corp. (2008) 169 Cal.App.4th 116, 138-141 [discussing vertical privity and the “direct dealings” exception].)

The Complaint alleges no vertical privity between Generac (the alleged manufacturer) and Plaintiff (the buyer) or facts demonstrating an exception applies. Plaintiff alleges no direct interaction with Generac, that Generac directly sold the generator, or that Plaintiff had a direct contractual nexus with Generac. At most, the Complaint and the attached quote demonstrate McGraw Electric and Plaintiff had an oral agreement under which McGraw Electric would recommended the subject generator which Plaintiff purchased and had installed. Although Plaintiff’s allegations indicate Generac manufactured the generator, Plaintiff alleges no direct dealings with Generac or contractual privity.

Plaintiff claims leave to amend should be granted to allege facts concerning “Generac’s warranties accompanying the goods, direct manufacturer communications, authorized service involvement, and Plaintiff’s third-party beneficiary status as the intended end-user of the specifically-identified Generac equipment supplied for Plaintiff’s restaurant.” (Opp. at p. 4:25-28.) Although such an amendment was valid for the express warranty claim (marketing materials), the implied warranty claim as currently alleged and the later identification of Doe 1 as Generac suggests that Plaintiff had few if any direct interactions with Generac beyond its written assurances and marketing materials before purchasing the generator and suffering damages. If Plaintiff had

direct dealings with Generac, as the proposed amendment suggests, it is unclear why Generac was not originally named as a defendant in this matter. As for the third-party beneficiary exception, Plaintiff fails to provide facts demonstrating it was the intended third-party beneficiary of any contract between McGraw Electric or City Electric and Generac. Nor does Plaintiff allege any such arrangement existed. Finally, Plaintiff does not mention any facts demonstrating an agency relationship existed between Generac, McGraw Electric, or City Electric.

Therefore, the court sustains defendant Generac's demurrer to the Second Cause of action without leave to amend.

#### CONCLUSION and ORDER

Demurrer is sustained to the First Cause of Action with leave to amend and to the Second Cause of Action without leave to amend.

Plaintiff may file and serve an amended complaint within thirty (30) days of the issuing of this order.

Defendant Generac Power Systems, Inc. to give notice.

[1] Oppositions must be filed and served no later than nine (9) court days before the notice hearing date.